

SENATE THIRD READING
SB 531 (Wieckowski)
As Amended July 8, 2021
Majority vote

SUMMARY

Establishes documentation and notification requirements for a debt collector who has been assigned a delinquent debt.

Major Provisions

- 1) Defines, under the Rosenthal Fair Debt Collection Practices Act (Rosenthal Act), the term "delinquent debt" to mean a consumer debt, other than a mortgage debt, that has not been charged off and is past due at least 90 days.
- 2) Requires a debt collector to whom a delinquent debt has been assigned to provide the debtor, upon request and within 30 days, a statement including specified information about the delinquent debt, such as the balance and reason for all interest and fees, and a copy of the contract evidencing the debtor's agreement to the debt.
- 3) Prohibits a debt collector to which delinquent debt has been assigned from making a written statement to a debtor in an attempt to collect a delinquent consumer debt unless the debt collector has access to specified information, such as a copy of the contract or other document evidencing the debtor's agreement to the debt.

COMMENTS

Background. State law places various notification requirements and protections for borrowers related to the practices of debt collection and debt purchasing. Specifically:

- 1) *The Rosenthal Act.* The Legislature passed the Rosenthal Act in 1977 to place limits on the kinds of activities that creditors and debt collectors can employ when collecting payments. The Rosenthal Act prohibits deceptive, dishonest, unfair and unreasonable debt collection practices, and many of the law's provisions govern how debt collectors can interact and communicate with consumers. The law also provides a private right of action for harmed consumers, though nothing in the Rosenthal Act requires the debt collector prove they have the right to collect the debt.
- 2) *The Fair Debt Buying Practices Act.* The Legislature passed the Fair Debt Buying Practices Act in 2014 to provide protections to consumers whose debts were sold to a debt buyer. It requires an entity that buys charged-off consumer debt to maintain certain documentation and also requires that debt buyer to provide disclosures to consumers when the buyer attempts to collect debts. While the Fair Debt Buying Practices Act applies only to instances when the transfer of collection is structured as a sale, it also contains stronger validation and documentation requirements than the Rosenthal Act.

This bill extends similar validation and documentation requirements found in the Fair Debt Buying Practices Act to certain instances where delinquent debt is assigned to a debt collector by a creditor. Currently, these requirements, such as making available certain information that

proves an entity has a right to collect a particular debt, do not apply to a debt collector who is collecting an assigned delinquent debt that the collector did not purchase.

Questions around this bill's applicability to rental debt. Opponents to this bill have expressed concerns that this bill would apply to rental debt and would have an impact on landlords seeking the recovery of lost rent. For a more detailed discussion of this issue, refer to the Assembly Judiciary Committee's analysis of this bill.

According to the Author

SB 531 will bring needed transparency to the debt collection business, an industry where debt is exchanged so fast and often times through multiple hands that consumers are left confused as to whom they really owe money. My bill would require debt collectors, who have delinquent debt assigned to them, to have proof that they have the authority to collect on the debt. Consumers would have the right to request that proof, along with simple but important information such as how much debt is owed, any fees or interests, and the date of the last payment.

Arguments in Support

Public Law Center describes the need for this bill as follows:

...There are reports from legal services of debt collectors going out of their way to assert that debt they are collecting on is assigned debt, not sold. Assigned meaning the original creditor technically still owns the debt, but they have a debt collector make all decisions relating to collection activity. Because the debt is not being sold, debtors' rights and protections under the FDBPA is being circumvented. Collectors are targeting wrong debtors, they are collecting on incorrect amounts, and the consumer has no way to determine the truth of their claims. SB 531 would require debt collectors that have delinquent debt assigned to them have proof that they have the authority to collect on the assigned debt, and the bill would allow the consumer the right to request that proof, along with other basic information in regards to the debt. These rights are the same as those found in the FDBPA for debt that is sold

Arguments in Opposition

Southern California Rental Housing Association contends that this bill will burden collection of rental debt:

Even a mention of rent that's due triggers [the] Rosenthal [Act]. So, consumer debt and any debt collection agency...that collects rental debt also has to comply.

FISCAL COMMENTS

According to the Assembly Appropriations Committee, minor and absorbable costs to the Department of Financial Protection and Innovation (DFPI) to update manuals and licensee examination procedures and respond to new complaints.

VOTES**SENATE FLOOR: 29-9-2**

YES: Allen, Archuleta, Atkins, Becker, Bradford, Caballero, Cortese, Dodd, Durazo, Eggman, Glazer, Gonzalez, Hertzberg, Hueso, Hurtado, Kamlager, Laird, Leyva, McGuire, Min, Newman, Pan, Portantino, Roth, Rubio, Skinner, Umberg, Wieckowski, Wiener

NO: Bates, Borgeas, Dahle, Grove, Jones, Melendez, Nielsen, Ochoa Bogh, Wilk

ABS, ABST OR NV: Limón, Stern

ASM BANKING AND FINANCE: 9-0-3

YES: Grayson, Bauer-Kahan, Burke, Cervantes, Gabriel, Cristina Garcia, Petrie-Norris, Stone, Wicks

ABS, ABST OR NV: Chen, Choi, Nguyen

ASM JUDICIARY: 9-1-1

YES: Stone, Gallagher, Chau, Chiu, Lorena Gonzalez, Holden, Kalra, Maienschein, Reyes

NO: Davies

ABS, ABST OR NV: Kiley

ASM APPROPRIATIONS: 15-1-0

YES: Lorena Gonzalez, Bryan, Calderon, Carrillo, Chau, Megan Dahle, Voepel, Fong, Mullin, Eduardo Garcia, Luz Rivas, Quirk, Kalra, Stone, McCarty

NO: Bigelow

UPDATED

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